

Before the
FEDERAL MARITIME COMMISSION

Washington, DC 20573

Docket No. 24-06

Impact Products, LLC and Safety Zone, LLC v. Lihua Logistics Company Limited - LLHP

AMENDED VERIFIED COMPLAINT

I. INTRODUCTION

1. Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”) (collectively, the “Complainants”), by their undersigned counsel, bring this Amended Verified Complaint against Respondent Lihua Logistics Company Limited - LLHP (“Lihua” or “Respondent”), pursuant to 46 U.S.C. Section 41301, to seek reparations for injuries to Complainants caused by Lihua’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”).

2. Since the beginning of the COVID-19 pandemic, global ocean carriers, including Lihua, have, as alleged herein, and upon information and belief, unjustly and unreasonably exploited customers, such as Complainants, by vastly increasing their profits at the expense of shippers and the U.S. public generally, which bears increased freight cost in the form of inflation.

3. As explained further below, beginning in 2021 through 2022 (the “Relevant Period”), Lihua assessed demurrage, detention, per diem, and yard storage charges (the “Charges”) to Complainants for periods of time in which Complainants’ ability to pick up containers at the ports, or return empty containers promptly, was significantly constrained due to circumstances outside of the Complainants’ control, such as congestion at the ports and shortage of equipment.

4. Lihua's conduct, as alleged herein, with respect to the receipt, handling, storage, and/or delivery of the Complainants' property and, upon information and belief, of other shippers, occurred on a normal and customary basis.

II. THE COMPLAINANT

5. Complainants Impact Products, LLC and Safety Zone, LLC are corporations with offices in Ohio, Tennessee, and Connecticut, among other locations. Impact Products LLC is located at 2840 Centennial Rd., Toledo, OH 43617 and they have an email address of Thomas.russo@supplysourceglobal.com. Safety Zone LLC has an address of 385 Long Hill Rd., Guilford, CT 06437 and an email address of Thomas.russo@supplysourceglobal.com. Their parent corporation is Supply Source Enterprises ("Supply Source"). Complainants are "shippers" pursuant to 46 U.S.C. 40102(23). Impact Products is the leading manufacturer of supplies and accessories for the cleaning industry, and Safety Zone manufactures safety equipment and products. They have been in business for over fifty years. Impact Products was formed in 1963 and Safety Zone in 1973. Complainants have service centers in Connecticut, Ohio, and Shanghai, China and distribution centers in Connecticut, Indiana, California, Texas, and Florida.

III. THE RESPONDENT

6. Upon information and belief, Respondent Lihua is a company existing under the laws of Hong Kong with its principle place of business located at Rm C 13/F Harvard Coml. Bldg. 105-111 Thomson Rd., Wan Chai, Hong Kong, acting in the United States by and through its agent, Norton Lilly International, a company existing under the laws of the State of Alabama with offices located at One St. Louis Centre, Suite 5000, Mobile, AL 36602. Respondent Lihua is a global ocean carrier that offers container transportation and serves multiple ports in the United States.

7. Upon information and belief, Respondent Lihua and its agent Norton Lilly International acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “Lihua” or “Respondent.”

IV. JURISDICTION AND LEGAL AUTHORITY

8. The Federal Maritime Commission (“FMC”) has jurisdiction over this Amended Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

9. The FMC has personal jurisdiction over Lihua as an ocean common carrier, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a “service contract”, as that term is defined by 46 U.S.C. Section 40102(21), with Laufer Group International (“Laufer”).

10. Lihua’s actions alleged herein constitute failures by Lihua to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants, in violation of 46 U.S.C. Section 41102(c) and the FMC’s Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020 (partially codified at 46 C.F.R. Section 545.5) (the “Interpretive Rule”), and in particular the Incentive Principle articulated in the Interpretive Rule.

11. Lihua’s assessment of the Charges or a substantial majority thereof, and the alleged acts and omissions of Lihua that led to the assessment of such Charges, also constitute violations of 46 U.S. Section 41104, including 46 U.S.C. Section 41104(a)(10)’s prohibition on unreasonable refusals to deal or negotiate.

V. ALLEGED FACTS

12. For the period of 2021 through 2022, Complainants used Laufer, a non-vessel operating common carrier (“NVOCC”), to assist in delivering containers with Complainants’

goods (the “Relevant Containers”) from outside the United States to the United States. Upon information and belief, Laufer entered into a service contract or service contracts with Lihua for the shipment of the Relevant Containers on Lihua’s vessels. Laufer, as an NVOCC, booked the shipment of the Relevant Containers under these service contracts.

13. Throughout the Relevant Period, Complainants, through Laufer, shipped 230 unique containers using Lihua. Of those containers, Lihua assessed Complainants with demurrage on 94 containers, per diem charges on 19 containers, and yard storage charges on 62 containers. The total demurrage, detention, per diem, and yard storage charges total \$658,325.

14. Laufer passed the Charges through to Complainants with no markups. While Laufer invoiced Complainants for the Charges, it simply acted as a conduit for the Charges that were assessed by Lihua. Complainants subsequently paid Laufer a total of \$658,325 for the Charges assessed by Lihua during the Relevant Period. Laufer then used the proceeds it received from Complainants to pay Lihua.

15. Laufer has assigned the claims alleged herein against Lihua to Complainants. A true and correct copy of the Assignment of Claims Agreement between Complainants and Laufer is attached herein as **Exhibit A**.

16. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC’s Fact Finding Investigation 29, “the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an enforceable principle that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended.”

17. As set forth in the FMC’s Interpretive Rule, “the purpose of demurrage and detention are to incentivize cargo movement,” and therefore the FMC “will consider in the

reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.”

18. Lihua’s assessment of the Charges, or a substantial majority thereof, and Lihua’s acts and omissions that led to the assessment of the Charges, were incapable of incentivizing cargo movement and therefore unreasonable.

19. To maximize container use and port storage space, carriers charge a daily fee to shippers who fail to pick up containers promptly or after the number of free days has expired. Similarly, an importer faces detention charges if it fails to unload a container and return the empty container to the port within the free period.

20. Lihua refused to act reasonably by increasing the number of free days available to Complainants even though Lihua created delays beyond Complainants’ control.

21. In 2021 and 2022, the volume of shipments coming into certain ports had surged, compared to 2020. Even though the volume increased, Lihua refused to divert shipments to less crowded ports and also failed to extend the number of free days before it assessed the Charges.

22. The Charges assessed by Lihua and paid by Complainants were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of Complainants and their agents and service providers, such as congestion at ports and shortage of equipment.

23. Lihua failed to provide adequate practices and facilities to handle and store Lihua’s empty containers and also failed to provide adequate facilities for its customers, including Complainants, to return empty containers.

24. Despite that knowledge, Lihua continued to accept Complainants’ goods for ocean common carriage and for receipt, handling, storage, and/or delivery through the ports.

25. Lihua failed to provide reasonable free time for Complainants for containers Lihua transported into the ports during the time Lihua failed to clear its container backlog.

26. The Charges did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive penalty on Complainants for circumstances over which Complainants and their agents and service providers had little to no control.

27. Lihua also failed to provide sufficient detail on its invoices to allow Complainants to understand the reasons for the Charges and to be able to contest the Charges.

28. If not fixed, Lihua's unlawful practices will become industry standard and leading to a situation where all global container lines can impose the improper detention and demurrage charges upon shippers because of delays and conditions outside of shippers' control.

VI. CAUSES OF ACTION

COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)

29. Complainants repeats and reallege the allegations above as if fully set forth herein.

30. Lihua's assessment of the Charges, and the alleged acts or omissions of Lihua that led to the assessment of such Charges, constitutes failures by Lihua to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Complainants' property in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

COUNT II: VIOLATION OF 46 U.S.C. § 41104(a)(10)

31. Complainants repeat and reallege each and every allegation above as if fully set forth herein.

32. Lihua's assessment of the Charges, and the alleged acts or omissions of Lihua that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate with Complainants, in violation of 46 U.S.C. Section 41104(a)(10).

VII. CAUSATION

33. The foregoing alleged illegal acts of Lihua have directly and proximately injured Complainants by forcing Complainants to pay the Charges.

VIII. COMPLAINANT'S DAMAGES

34. Complainants have been, and continue to be, actually and materially injured by each of Lihua's continuous conduct in violation of the Shipping Act alleged herein.

35. Lihua's violations alleged herein are causing direct, proximate, and ongoing financial damages to Complainants in an amount in excess of \$650,000 and to be further demonstrated in this proceeding.

IX. PRAYER FOR RELIEF

WHEREFORE, Impact Products, LLC and Safety Zone, LLC respectfully request that the FMC require Lihua to answer the charges made in this Amended Verified Complaint and prays for relief from the FMC as follows:

1. An investigation by the FMC of the allegations in this Amended Verified Complaint pursuant to 46 U.S.C. Section 41301(c);
2. An Order, after due investigation pursuant to 46 U.S.C. Sections 41302 and 41303 and a hearing pursuant to 46 U.S.C. Section 41304, finding that Lihua has violated 46 U.S.C. Section 41102(c) in connection with its respective receipt, handling, storage, and delivery of the property of Impact Products, LLC and Safety Zone, LLC;

3. An Order requiring Lihua to pay Impact Products, LLC and Safety Zone, LLC reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, with interest pursuant to 46 U.S.C. Section 41305(a), Impact Products, LLC and Safety Zone, LLC's reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and
4. Such other and further orders or relief as the FMC deems just and proper.

X. REQUEST FOR ORAL HEARING

1. Complainants requests an oral hearing in Washington, DC.

Respectfully submitted,

CLARK HILL PLC

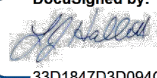
/s/ Timothy R. Herman

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Counsel for Complainant Impact Products,
LLC and Safety Zone, LLC

VERIFICATION

I, Larry Hallett, hereby verify as follows:

1. I am Director of Global Logistics for Complainant Supply Source Enterprises who is the parent corporation of Impact Products, LLC and Safety Zone, LLC.
2. I am authorized to make this verification on behalf of Complainants Impact Products, LLC and Safety Zone, LLC.
3. I hereby verify that the facts contained in the foregoing Amended Verified Complaint are true and correct to the best of my knowledge, information and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

DocuSigned by:

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Larry Hallett, Impact Products, LLC and
Safety Zone, LLC

Dated: 5/13/2024

CERTIFICATE OF SERVICE

I certify that on May 17, 2024, a true and correct copy of the foregoing **Complainants' Amended Verified Complaint** was served by email on all counsel of record in accordance with 46 CFR Part 502 and May 6, 2024 Scheduling Order.

Attorneys for Respondents:

Hoppel, Mayer & Coleman
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301-520-0314

/s/ Timothy R. Herman
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R. Kevin Williams
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312.985.5907
Clark Hill PLC
130 E Randolph Street, Suite 3900
Chicago, IL 60601

EXHIBIT A

ASSIGNMENT OF CLAIMS AGREEMENT

This Assignment of Claims Agreement (the “Agreement”) is made and entered into as of the ___ day of April, 2024 (the “Effective Date”), by and between Laufer Group International, a New York corporation, with offices at 20 Vesey St., Suite 601, New York, NY 10007 (the “Assignor”), and Impact Products, LLC and Safety Zone, LLC (collectively the “Assignees”). Each of the foregoing may sometimes hereinafter be referred to as a “Party” or collectively as the “Parties”).

RECITALS

WHEREAS, on February 14, 2024, Assignees filed verified complaints (the “Complaints”) against the following respondents (collectively referred to as the “Respondents”) in the Federal Maritime Commission (collectively referred to as the “Administrative Proceedings”):

1. Docket No. 24-05 – *Impact Products, LLC et al., Complainants v. Mediterranean Shipping Company SA, Respondents*;
2. Docket No. 24-06 – *Impact Products, LLC et al., Complainants v. Lihua Logistics Company, Respondents*;
3. Docket No. 24-07 – *Impact Products, LLC et al., Complainants v. Overseas Container Line Limited and OOCL (Europe) Limited, Respondents*;
4. Docket No. 24-08 – *Impact Products, LLC et al., Complainants v. CMA CGM S.A., Respondent*;
5. Docket No. 24-09 – *Impact Products, LLC et al., Complainants v. COSCO Shipping Lines Co., Ltd., Respondents*; and
6. Docket No. 24-10 – *Impact Products, LLC et al., Complainants v. Yang Ming Marine Transport Corp., Respondent*

WHEREAS, as part of their Complaints, the Assignees allege that Respondents violated the Shipping Act by assessing demurrage, detention, per diem, and other charges (the “Charges”) to Assignees, and seek damages from Respondents pursuant to 46 U.S.C. Section 41305 (the “Claims”).

WHEREAS, certain disputes have arisen in some of the Administrative Proceedings relating to who—Assignee or Assignor—may bring the claims alleged in the Complaint (“the Dispute”).

WHEREAS, to resolve the Dispute, the Parties desire that Assignor assign to Assignee, and Assignee assume from Assignor, all of Assignor’s right, title, interest, cause or causes of action arising from the Administrative Proceedings and to bring claims for damages against the Respondents listed for demurrage, detention, per diem, and other charges.

NOW, THEREFORE, in consideration of the foregoing, the mutual promises herein contained herein, the receipt and sufficiency of which is hereby acknowledged by the Parties intending to be legally bound by this Agreement, agree as follows:

1. Recitals Incorporated. The Recitals set forth above are incorporated into and made a part of this Agreement.

2. Assignment of the Claims to Assignee. Assignor hereby irrevocably sells, conveys, transfers and assigns to Assignees, and Assignees hereby assume from Assignor, any and all of Assignor's rights, title, interest, claims, cause or causes of action of any kind whatsoever which Assignor has, or may have, arising from the Administrative Proceedings (the "Claims"). This assignment shall be deemed an absolute and unconditional assignment of the Claims.

3. Release of Assignor in Full. If, and only if, Assignor strictly complies with all of its obligations under this Agreement without default beyond notice and opportunity to cure hereunder, then Assignees, for and on behalf of themselves, their agents, affiliates, insiders, employees, attorneys, accountants, successors, assigns, and insurers (collectively, the "Assignee Releasers") shall thereafter fully and completely remise, release and forever discharge Assignors and their respective agents, employees, attorneys, accountants, successors, assigns, and insurers (collectively "Assignor Released Parties") of and from any and all actions, causes of action, demands, debts, suits, sums of money, accounts, bonds, bills, covenants, contracts, controversies, agreements, promises, damages, judgments, deficiency judgments of any kind, assessments, liabilities, losses, obligations, expenses (including attorneys' fees, interest and costs), claims and demands whatsoever, in law or in equity, whether known or unknown, matured or unmatured, that Assignees' Releasers ever had, now have, shall or may have or hereinafter attempt to assert against Assignor that arise from or are related to the Assignees' Complaints, the Claims and the Adversary Proceedings as defined above.

~~4. Release of Assignee in Full. If, and only if, Assignor strictly complies with all of its obligations under this Agreement without default beyond notice and opportunity to cure hereunder, then Assignees, for and on behalf of themselves, their agents, affiliates, insiders, employees, attorneys, accountants, successors, assigns, and insurers (collectively, the "Assignee Releasers") shall thereafter fully and completely remise, release and forever discharge Assignors and their respective agents, employees, attorneys, accountants, successors, assigns, and insurers (collectively "Assignor Released Parties") of and from any and all actions, causes of action, demands, debts, suits, sums of money, accounts, bonds, bills, covenants, contracts, controversies, agreements, promises, damages, judgments, deficiency judgments of any kind, assessments, liabilities, losses, obligations, expenses (including attorneys' fees, interest and costs), claims and demands whatsoever, in law or in equity, whether known or unknown, matured or unmatured, that Assignees' Releasers ever had, now have, shall or may have or hereinafter attempt to assert against Assignor that arise from or are related to the Assignees' Complaints, the Claims and the Adversary Proceedings as defined above.~~

5. Representations and Warranties. The Assignor and each Assignee represents and warrants to the other that:

- a. it has not assigned, subrogated, or transferred or purported to assign, subrogate, or transfer, to any person, firm, partnership, corporation or entity whatsoever any action(s) or cause(s) of action at law or in equity, suits, debts, demands, claims,

contracts, covenants, liens, liabilities, losses, costs, accounts, expenses (including, without limitation attorneys' fees), or damages released in this Agreement; and

b. it has full power and authority to execute and perform its obligations under this Agreement in all respects; and

c. execution and delivery of this Agreement and the performance of each Party's obligations hereunder and thereunder have been authorized by all necessary action and do not violate any laws, regulations or orders by which each Party is bound; and

d. this Agreement constitutes each Party's legal, valid and binding obligations, enforceable against each Party in accordance with the terms hereof and thereof.

e. Assignor further represents and warrants that (i) Assignor is the true and lawful owner of the Claims; (ii) Assignor has made no prior assignment or sale of the Claims; (iii) the execution and delivery of this Agreement by Assignor and the assignment of all its right, title, and interest in the Claims does not contravene any agreement to which Assignor is a party or by which it is bound; and (iv) no liens, encumbrances, charges, security interests or obligations of any kind exist on the date hereof against the Claims.

6. Review by Counsel. The Parties acknowledge that they have each had the opportunity and/or have had this Agreement reviewed by independent counsel of their choice, and further represent that they are competent to enter into this Agreement, fully understand its terms and consequences, and enter into it knowingly and voluntarily.

7. Choice of Law/Venue. The Parties hereto agree that the terms of this Agreement shall be interpreted and construed pursuant to the laws of the State of Illinois, without regard to choice of law.

8. Notices. All notices or other communications required under this Agreement shall be in writing and shall be deemed to have been duly given and received (a) the third Business Day after mailing by first-class certified or registered mail, return receipt requested and postage prepaid; or (b) the following Business Day after mailing by a nationally recognized overnight courier service for next Business Day delivery and charges prepaid; or (c) the same Business Day if sent by electronic mail prior to 5:00 CT (the following Business Day if sent after 5:00 CT) and proof of such email delivery can be reasonably established, and in all instances addressed as follows:

TO ASSIGNEES:

c/o Clark Hill PLC

130 E. Randolph St., Suite 3900

Chicago, IL 60601

Attn: Timothy R. Herman (therman@clarkhill.com)

TO ASSIGNOR:

Laufer Group International
20 Vesey St #601
New York, NY 10007

9. Continuing Cooperation. If at any time after the date hereof, either Party reasonably determines that additional action (including, without limitation, the execution and delivery of further documents and other instruments) is necessary to carry out the purposes of this Agreement, such party will so notify the other Party, who agrees to take the requested further action. Thereafter, the Assignor shall execute, acknowledge and deliver all such further assignments, sales, transfers, conveyances, warranties, licenses, applications, notices and assumptions and such other instruments, and shall take or cause to be taken such further actions, as may be reasonably necessary or appropriate to make effective the transactions contemplated by this Agreement.

10. Third Party Beneficiary. This Agreement is entered into for the sole protection and benefit of the Parties hereto and their respective successors and assigns, and no other person shall be a direct or indirect beneficiary of, or shall have any direct or indirect cause of action or claim in connection with this Agreement, nor is anything in this Agreement intended to relieve or discharge the obligation or liability of any third persons to any party to this Agreement.

11. Successors and Assigns. This Agreement and the representations and warranties, covenants and agreements herein contained shall inure to the benefit of and shall bind the respective Parties hereto and their respective successors and assigns.

12. Severability. If any clause or provision of this Agreement is determined to be illegal, invalid or unenforceable under any present or future law by the final judgment of a court of competent jurisdiction, the remainder of this Agreement will not be affected thereby. It is the intention of the Parties that if any such provision is held to be illegal, invalid or unenforceable, there will be added in lieu thereof a provision as similar in terms to such provision as is possible and be legal, valid and enforceable.

13. Entire Agreement. This Agreement is intended to embody the final, complete and exclusive agreement among the Parties with respect to the subject matter hereof and is intended to supersede all prior agreements, understandings and representations written or oral, with respect thereto; and may not be contradicted by evidence of any such prior or contemporaneous agreement, understanding or representation, whether written or oral.

14. Amendments. This Agreement shall not be altered, modified or amended except by a written instrument signed by each of the parties hereto.

15. Counterparts. This Agreement may be executed in multiple counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same Agreement.

[SIGNATURES CONTINUED ON FOLLOWING PAGE]

IN WITNESS WHEREOF, the Parties have executed this document on the dates set forth below:

**ASSIGNOR, LAUFER GROUP
INTERNATIONAL**

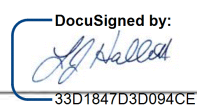
By: 

Name: Brian Martorano

Title: National Director, Ocean Impact

Dated: 4/3/2024

**ASSIGNEES, IMPACT PRODUCTS,
LLC AND SAFETY ZONE, LLC**

By: 

Name: Lawrence Hallett

Title: Director, Global Logistics

Dated: 4/4/2024